



cutting through complexity

Project West

Due diligence assistance

Deal Advisory

December 5, 2018



Important notice

This report is provided to 1561710 Alberta Ltd. ("Client") on a confidential basis pursuant to our engagement letter dated October 18, 2018 ("Engagement Agreement") and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG. KPMG neither warrants nor represents that the information contained in this report is accurate, complete, sufficient or appropriate for use by any person or entity other than Client or for any purpose other than set out in the Engagement Agreement.

In preparing our report, our primary source has been the Company's internal management information and representations made to us by management of the Company. We do not accept responsibility for such information which remains the responsibility of management. We have satisfied ourselves, so far as possible, that the information presented in our report is consistent with other information which was made available to us in the course of our work in accordance with the terms of our Engagement Agreement. We have not, however, sought to establish the reliability of the sources by reference to other evidence.

This engagement is not an assurance engagement conducted in accordance with any generally accepted assurance standards and consequently no assurance opinion is expressed.

The Quality of Earnings and Net working capital analyses are for indicative purposes only. We have sought to illustrate the effect on EBITDA and NWC by adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However, the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'underlying' earnings, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings trends for future periods may be affected by such items, which may be different from the historical items.

Glossary

\$'000	Thousand of Canadian Dollars	GP	Gross profit
ACCO	Alberta Charitable Casino Operator	IFRS	International Financial Reporting Standards
ADP	Automatic Data Processing, Inc.	IS	Income statement
AGLC	Alberta Gaming and Liquor Commission	IT	Information technology
BNS	Bank of Nova Scotia	LLP	Limited Liability Partnership
BS	Balance sheet	LT	Long term
Capex	Capital expenditures	Ltd.	Limited
CEO	Chief Executive Officer	Management	Management of the Company
CFO	Chief Financial Officer	MW	Minimum wages
Client or You	1561710 Alberta Ltd.	N.a	Not applicable
COGS	Cost of goods sold	NWC	Net working capital
Company	Pure Canadian Gaming Corporation	OT	Over-time
CRA	Canada Revenue Agency	PP&E	Property, plant and equipment
EBITDA	Earnings before interest, taxes, depreciation and amortization	QofE	Quality of Earnings
Excl.	Excluding	TTM	Trailing twelve months
F&B	Food and beverage	USD	United States Dollars
FS	Financial statements	VLT	Video lottery terminal
FTE	Full time equivalent	VP	Vice-President
FX	Foreign exchange	WCB	Workers' Compensation Board
FYXX	Fiscal year ended December 31, 20xx	YTD	Year to date
G&A	General & administration		
GL	General ledger		
GM	Gross margin		

All figures are denominated in CAD, unless otherwise noted. Our report makes reference to “KPMG analysis”. This indicates only that KPMG has undertaken certain analytical procedures on the underlying data to arrive at the information presented. We do not accept responsibility for the underlying data.



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Private and confidential

Anna Borissova
1561710 Alberta Ltd.
7055 Argyll Road
Edmonton, AB, T6C 4A5
Canada

December 5, 2018

Dear Anna,

We have completed our procedures to assist 1561710 Alberta Ltd. ("Client" or "you") in performing pre-sale sell-side assistance in connection with the potential sale (the "Transaction") of Pure Canadian Gaming Corporation (the "Company") in accordance with the terms of our engagement letter dated October 18, 2018, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of entering into this potential sale. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions with you and your advisors and an on-site meeting. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Basis of Information

The engagement letter describes the procedures we were to perform. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about the Company or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning the Company.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on the Company's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or the Company from October 18, 2018 to December 5, 2018, inclusive. Since many aspects of the transaction with the Company have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to December 5, 2018.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of the Company and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,



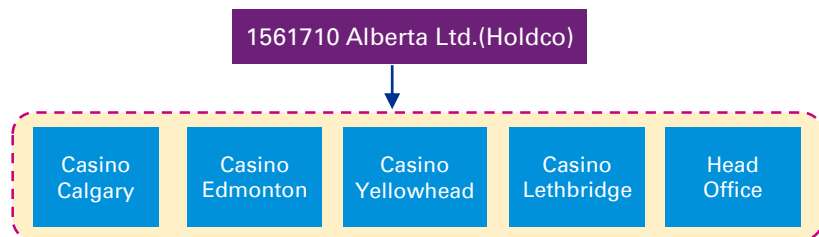
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Executive summary

Business and transaction overview

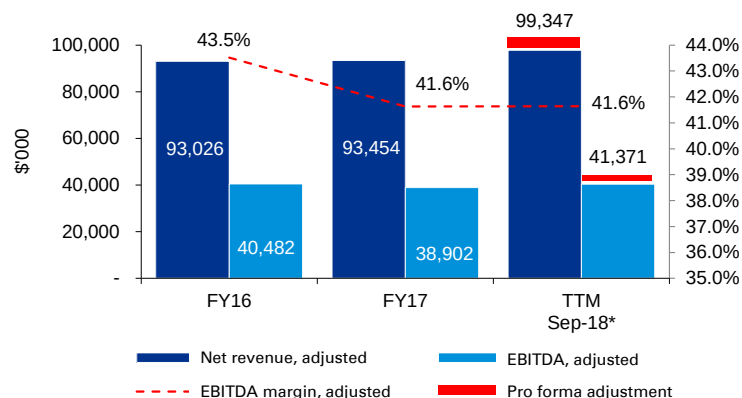
Transaction perimeter



Source: Management provided information

Note: The above chart does not reflect the true legal structure of the Company.

Financial summary



Source: Management provided information; KPMG analysis

*Note: TTM Sep-18 reflects pro forma adjusted revenue and EBITDA

Business overview

- 1561710 Alberta Ltd., d/b/a Pure Canadian Gaming Corporation (i.e. the "Company"), is a privately-held Canadian gaming operator, acquired by ONCAP in FY11. Headquartered in Edmonton, AB, the Company operates four casinos in three different cities (i.e. Edmonton (2), Calgary (1) and Lethbridge (1)).
- The Alberta Gaming and Liquor Commission ("AGLC") regulates and controls all the gaming activities in the province of Alberta.
- As of September 30, 2018, the Company operates approximately 2,875 slot terminals, 107 VLTs, 92 table games, 39 poker tables and 4 entertainment venues supported by several bars and restaurants across all four properties. The Company has 22.5% share of provincial slot cash played and 29.8% share of provincial table game drop.
- The Company's primary revenue streams comprise of: slots (39%), table games (31%), food & beverage (15%), poker (6%) and other (9%) in TTM September 30, 2018.
- The Company recently opened a new poker room in Casino Calgary in May 2018 and an entertainment room in Casino Yellowhead in December 2017.

Information overview and access

- The analysis contained in this report is prepared based on the following sources of information and access:
 - **Data room access:** Key information provided by Management in an electronic data room including monthly Management discussion & analysis reports, monthly trial balances by property and other financial records; and
 - **Management meetings:** Several discussions held with the Company's Management, including George Goldhoff (CEO), Anna Borissova (CFO) and Chenelle Beck (Controller).

Executive summary

Summary financial statements

The Company's fiscal year-end is December 31st.

The adjacent tables present the Company's income statement and balance sheet for each respective period.

The financial statements are audited by Deloitte LLP and are prepared in accordance with IFRS.

Refer to appendices for: (i) a build-up of the combined income statement, and (ii) a reconciliation to the Company's audited financial statements for FY16 and FY17.

Income statement				
			TTM	
\$'000	FY16	FY17	Sep-18	
Gaming & other	79,029	79,499	83,150	
Food & beverage	16,539	16,003	16,705	
Gross revenue	95,568	95,502	99,855	
Complimentary food expenses	(2,543)	(2,059)	(2,145)	
Net revenue	93,026	93,443	97,710	
Cost of goods sold	(5,761)	(5,808)	(6,140)	
Gross margin	87,265	87,635	91,569	
Operating expenses				
Compensation	(33,154)	(34,533)	(36,323)	
Marketing	(4,026)	(4,130)	(4,334)	
Other expenses	(9,756)	(10,443)	(10,763)	
Operating expenses	(46,936)	(49,107)	(51,420)	
EBITDA, reported	40,328	38,528	40,149	
Other items	(1,051)	(1,346)	(1,354)	
Depreciation & amortization	(4,565)	(4,665)	(4,842)	
Amortization of deferred financing fees	(260)	(639)	(621)	
EBIT	34,453	31,877	33,332	
Interest	(33,483)	(35,013)	(33,570)	
Provision for income taxes	(310)	721	(434)	
Net income	660	(2,414)	(673)	

Source: Management provided information

Basis of presentation

- The combined financial statements include the accounts of casino Calgary, casino Edmonton, casino Yellowhead, casino Lethbridge, and its head office.
- The FY16 and FY17 combined financial statements are audited by Deloitte LLP.
- The Company's reporting currency is CAD and all figures are denominated in CAD, unless otherwise noted.

Balance sheet				
	As at			
\$'000	31-Dec-16	31-Dec-17	30-Sep-18	
Assets				
Cash and cash equivalents	8,182	8,492	4,648	
Accounts receivable	4,944	7,452	6,935	
Income taxes recoverable	2,765	600	(486)	
Inventory	518	521	414	
Prepaid expenses and other	938	1,062	1,023	
Restricted cash	1,184	1,485	1,624	
Current assets	18,531	19,612	14,157	
Property and equipment	94,261	93,330	91,332	
Intangible assets	184,005	184,149	184,094	
Goodwill	51,858	51,858	51,858	
Total assets	348,654	348,948	341,441	
Liabilities and equity				
Liabilities				
Accounts payable and accrued liabilities	(10,537)	(15,432)	(8,624)	
Current liabilities	(10,537)	(15,432)	(8,624)	
Long term debt (including current portion)	(302,935)	(301,406)	(300,960)	
Deferred income tax liabilities	(36,667)	(35,964)	(35,513)	
Total liabilities	(350,139)	(352,802)	(345,097)	
Equity				
Share capital	(234)	(234)	(238)	
Share based compensation reserve	(192)	(237)	(264)	
Retained deficit	1,910	4,324	4,157	
Equity	1,484	3,853	3,655	
Total liabilities and equity	(348,654)	(348,948)	(341,441)	

Source: Management provided information



Supporting analysis to key findings

Quality of earnings

Supporting analysis

Quality of Earnings (1) – Overview

Reported TTM Sep-18 EBITDA of \$44.2 million (excluding the minimum wage impact) increases to \$44.4 million subsequent to adjustments identified during due diligence.

Subsequent to the minimum wage impact and potential pro forma adjustments identified, EBITDA decreases to \$41.4 million.

The following pages provide additional details on potential and pro forma Quality of Earnings adjustments and other considerations.

Quality of earnings			
			TTM
\$'000	FY16	FY17	Sep-18
Net revenue, reported	93,026	93,443	97,710
Adjustments	-	11	10
Net revenue, adjusted	93,026	93,454	97,719
EBITDA, reported (excluding MW impact)	41,867	41,266	44,150
EBITDA margin, reported (excluding MW impact)	45.0%	44.2%	45.2%
Adjustments	154	374	274
EBITDA, adjusted (excluding MW impact)	42,022	41,640	44,424
EBITDA margin, adjusted (excluding MW impact)	45.2%	44.6%	45.5%
Minimum wage impact	(1,539)	(2,739)	(4,001)
EBITDA, adjusted	40,482	38,902	40,423
EBITDA margin, adjusted	43.5%	41.6%	41.4%

Source: Management provided information; KPMG analysis

Quality of earnings - pro forma		TTM
		Sep-18
\$'000		
Net revenue, adjusted		97,719
Pro forma adjustments		1,628
Net revenue, pro forma adjusted		99,347
EBITDA, adjusted		40,423
Pro forma adjustments		948
EBITDA, pro forma adjusted		41,371
EBITDA margin, pro forma adjusted		41.6%

Source: Management provided information; KPMG analysis

Basis of preparation

The above Quality of Earnings schedule illustrates EBITDA adjustments which were identified for the fiscal years ended December 31, 2016, December 31, 2017, and trailing twelve months ended September 30, 2018.

The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

Overview

- The nature of adjustments included in the Quality of Earnings analysis are as follows:
 - **EBITDA, reported (excluding MW impact):** Represents reported EBITDA as presented in Management's monthly accounts, excluding: (i) definitional adjustments to EBITDA; (ii) one-time expenses and (iii) the phased impact of minimum wage increases effective October 1, 2015, October 1, 2016 and October 1, 2017. Refer to the following page for a bridge from net income to reported EBITDA.
 - **EBITDA, adjusted (excluding MW impact):** Includes non-recurring and non-operating items identified during diligence.
 - **EBITDA, adjusted:** Includes the impact of non-recurring and non-operating items identified during due diligence and the phased impact of minimum wage increases.
 - **EBITDA, pro forma adjusted:** Includes run-rate adjustments to reflect the annualized impact of growth initiatives identified by Management.
- 'Other considerations' represent potential quality of earnings items which may impact historical and future EBITDA. These items may be subjective in nature and as a result, have not been included in the Quality of Earnings table.

Quality of Earnings (2) - Net income bridge to reported EBITDA

The adjacent table bridges the Company's net income to reported EBITDA.

Refer to the appendices for further details on the minimum wage impact and one-time expenses.

Quality of earnings			
		TTM	
\$'000	FY16	FY17	Sep-18
Net revenue, reported	93,026	93,443	97,710
Net income	660	(2,414)	(673)
Add/(deduct)			
Interest on sponsor (Oncap) loan	26,985	29,107	25,924
Interest on LT debt	6,241	5,626	7,400
Interest on management loan	257	280	247
Interest expense	33,483	35,013	33,570
Depreciation & amortization	4,825	5,304	5,463
Minimum wage impact	1,539	2,739	4,001
Sponsor related fees	686	661	722
One time expenses	442	758	464
Income taxes	310	(721)	434
Foreign exchange loss / (gain)	(51)	(74)	167
Gain on sale of assets	(26)	-	1
EBITDA, reported (excluding MW impact)	41,867	41,266	44,150
EBITDA margin, reported (excluding MW impact)	45.0%	44.2%	45.2%

Source: Management provided information; KPMG analysis

Minimum wage impact			
		TTM	
\$'000	FY16	FY17	Sep-18
EBITDA, reported (excluding MW impact)	41,867	41,266	44,150
Hourly rate and volume impact	(665)	(1,478)	(2,375)
Wealth compression	(874)	(1,261)	(1,626)
Minimum wage impact	(1,539)	(2,739)	(4,001)
EBITDA, reported	40,328	38,528	40,149
EBITDA margin, reported	43.4%	41.2%	41.1%

Source: Management provided information; KPMG analysis

Note: A reconciliation to the CIM is presented on minimum wage impact section of the Quality of Earnings.

Net income to reported EBITDA

The adjacent table presents a bridge between the Company's net income and reported EBITDA. The respective items are detailed below:

- Interest expense:** Primarily relates to interest expense incurred on the private equity sponsor, term and management loans;
- Depreciation & amortization:** Depreciation on fixed assets and amortization of intangible assets;
- Minimum wage impact:** Represents the add-back of the phased impact of minimum wage increases effective October 1, 2015, October 1, 2016 and October 1, 2017. Refer to the appendices for additional details. Note that the latest minimum wage increase in October 1, 2018, is not reflected in the analysis;
- Sponsor related fees:** Represents management fees paid to the Company's private equity sponsor and the advisory fees paid to the Company's board;
- One-time expenses:** Non-recurring expenses identified by Management and recorded separately in the Company's internal accounts. Refer to the appendices for additional details;
- Income taxes:** Represents recoverable income taxes and expenses;
- Foreign exchange loss (gain):** Primarily represents realized foreign exchange loss / (gain) on gaming supplies purchased in USD; and
- Gain on sale of assets:** Represents the accounting gain on the sale of fixed assets.

Sponsor related fees			
		TTM	
\$'000	FY16	FY17	Sep-18
Management Fees	603	600	600
Board Advisory Fees	83	61	122
Total	686	661	722

Source: Management provided information; KPMG analysis

Supporting analysis

Quality of Earnings (3) - Adjustments

Quality of earnings			
	TTM		
\$'000	FY16	FY17	Sep-18
Net revenue, reported	93,026	93,443	97,710
Adjustments			
1 Stolen slots	-	11	10
Adjustments	-	11	10
Net revenue, adjusted	93,026	93,454	97,719
EBITDA, reported (excluding MW impact)	41,867	41,266	44,150
<i>EBITDA margin, reported (excluding MW impact)</i>	<i>45.0%</i>	<i>44.2%</i>	<i>45.2%</i>
Adjustments			
1 Foreign exchange loss / (gain)	51	74	(167)
2 Rebranding costs	-	33	149
3 Consulting contract (chef)	8	21	70
4 Refinancing legal fees	-	-	65
5 Stolen slots	-	73	65
6 Executive meeting	-	-	43
7 Stock based compensation	58	46	36
8 Credit card fraud	-	14	14
9 VP of food & beverage	179	74	-
10 Alberta Charitable Casino Operator's funding	(38)	38	-
11 WCB refund	(88)	-	-
12 Maintenance contract credit	(10)	-	-
13 IT labour	(6)	-	-
Adjustments	154	374	274
EBITDA, adjusted (excluding MW impact)	42,022	41,640	44,424
<i>EBITDA margin, adjusted (excluding MW impact)</i>	<i>45.2%</i>	<i>44.6%</i>	<i>45.5%</i>

Source: Management provided information; KPMG analysis

Adjustments

The following are adjustments identified during due diligence:

- Foreign exchange loss / (gain):** Given that foreign exchange loss / (gain) is attributable to gaming supplies purchased in USD, the proposed adjustment includes the amount in normalized earnings as they are operating in nature. Note that Management includes this as a component from net income to reported EBITDA.
- Rebranding costs:** This adjustment adds-back one-time marketing expenses incurred for services from third parties (i.e. Inspiration Group and Masterminds) primarily related to a rebranding initiative. Refer to the table below for further details.

Rebranding costs		
	TTM	
\$'000	FY17	Sep-18
Inspiration Group	(33)	(100)
Masterminds	-	(49)
Total	(33)	(149)

Source: Management provided information; KPMG analysis
- Consulting contract (chef):** This adjustment adds-back expenses related to a contract with Rob Ryan (chef) to provide consulting and strategic assistance for the new menu implementation across all four casinos. These costs are not expected to continue going forward once the new menu is fully implemented. Note that Management recorded a portion of the these costs as a component from net income to reported EBITDA within one-time expenses (included in new menu implementation costs).
- Refinancing legal fees:** The Company paid legal fees related to debt refinancing to their equity sponsor. The adjustment eliminates the amount from EBITDA as it is non-operating in nature.
- Stolen slots:** The Company incurred non-recurring expenses in relation to stolen slot boxes as AGLC required payment of their share of the slot win (i.e. 85%). In addition, the Company did not record its own share of the slot win (i.e. 15%). This adjustment eliminates the one-time expenses from normalized earnings and includes the Company's portion of slot wins assuming that the theft did not occur. Refer to the table on the next page for further details.

Supporting analysis

Quality of Earnings (4) - Adjustments

Quality of earnings			
	TTM		
\$'000	FY16	FY17	Sep-18
Net revenue, reported	93,026	93,443	97,710
Adjustments			
1 Stolen slots	-	11	10
Adjustments	-	11	10
Net revenue, adjusted	93,026	93,454	97,719
EBITDA, reported (excluding MW impact)	41,867	41,266	44,150
<i>EBITDA margin, reported (excluding MW impact)</i>	<i>45.0%</i>	<i>44.2%</i>	<i>45.2%</i>
Adjustments			
1 Foreign exchange loss / (gain)	51	74	(167)
2 Rebranding costs	-	33	149
3 Consulting contract (chef)	8	21	70
4 Refinancing legal fees	-	-	65
5 Stolen slots	-	73	65
6 Executive meeting	-	-	43
7 Stock based compensation	58	46	36
8 Credit card fraud	-	14	14
9 VP of food & beverage	179	74	-
10 Alberta Charitable Casino Operator's funding	(38)	38	-
11 WCB refund	(88)	-	-
12 Maintenance contract credit	(10)	-	-
13 IT labour	(6)	-	-
Adjustments	154	374	274
EBITDA, adjusted (excluding MW impact)	42,022	41,640	44,424
<i>EBITDA margin, adjusted (excluding MW impact)</i>	<i>45.2%</i>	<i>44.6%</i>	<i>45.5%</i>

Source: Management provided information; KPMG analysis

Adjustments (continued)

Stolen slots			
		TTM	
\$'000		FY17	Sep-18
Stolen slots loss, as reported (85% AGLC share)	A	62	55
Stolen slots loss (100%)	$B = A / 0.85$	73	65
Revenue adjustment	$C = B * 0.15$	11	10
EBITDA adjustment	$D = B$	73	65

Source: Management provided information; KPMG analysis

- Executive meeting:** Represents non-recurring expenses incurred in relation to an executive team retreat that took place in Apr-18. According to Management, the Company has not had an executive retreat in the past five years.
- Stock based compensation:** Represents stock-based compensation from normalized earnings as it is non-cash in nature. Note that incremental cash consideration may be given to certain individuals in lieu of the equity plan.
- Credit card fraud:** On December 31, 2017, an individual made a fraudulent purchase of lottery tickets. The Company was unable to collect from the credit card provider and therefore, recorded the amount as an expense. Given that the Company has not incurred this expense historically, the proposed adjustment eliminates the expense as it is non-recurring in nature.
- VP of food & beverage:** Management indicated that the position of VP of Food & Beverage was no longer required from May 30th, 2017 subsequent to the implementation of the new menu and additional training provided to chefs' at all locations. This adjustment adds-back compensation costs (salary, bonus and benefits) related to the eliminated position.

VP of food & beverage			
		FY16	FY17
\$'000			
Annual salary	A	(125)	(52)
Bonus	$B = A * 0.35$	(44)	(18)
Benefits	$C = A * 0.08$	(10)	(4)
Compensation	$D = A + B + C$	(179)	(74)

Source: Management provided information; KPMG analysis

Supporting analysis

Quality of Earnings (5) - Adjustments

Quality of earnings			
	TTM		
\$'000	FY16	FY17	Sep-18
Net revenue, reported	93,026	93,443	97,710
Adjustments			
1 Stolen slots	-	11	10
Adjustments	-	11	10
Net revenue, adjusted	93,026	93,454	97,719
EBITDA, reported (excluding MW impact)	41,867	41,266	44,150
<i>EBITDA margin, reported (excluding MW impact)</i>	<i>45.0%</i>	<i>44.2%</i>	<i>45.2%</i>
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Source: Management provided information; KPMG analysis

Adjustments (continued)

- 10. Alberta Charitable Casino Operator's funding:** Represents the allocated cost due to Alberta Charitable Casino Operator ("ACCO"). This adjustment removes the impact of out-of-period expenses from FY17 and reduces the normalized earnings for FY16.
- 11. WCB refund:** The Company's annual WCB coverage is effective from April of each year. The Company received a refund in FY16 that related to prior periods and therefore, the proposed adjustment eliminates the refund from FY16 earnings.
- 12. Maintenance contract credit:** Represents a refund received from the Company's maintenance provider that relates to prior periods. The proposed adjustment reflects the refund in the appropriate period.
- 13. IT labour:** The Company hired an IT consultant on a temporary basis. Management included these non-recurring expenses as a component from net income to reported EBITDA. However, a portion of these expenses are offset by a vacancy during August 2016. Therefore, the adjustment reverses a portion of Management's add-back.

Quality of Earnings (6) – Minimum wage impact

Quality of earnings			
			TTM
\$'000	FY16	FY17	Sep-18
Net revenue, reported	93,026	93,443	97,710
Adjustments	-	11	10
Net revenue, adjusted	93,026	93,454	97,719
Net income	660	(2,414)	(673)
Add/(deduct)			
Interest expenses	33,483	35,013	33,570
Depreciation & amortization	4,825	5,304	5,463
Minimum wage impact	1,539	2,739	4,001
Sponsor related fees	686	661	722
One time expenses	442	758	464
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Foreign exchange loss / (gain)	(51)	(74)	167
Gain on sale of assets	(26)	-	1
EBITDA, reported (excluding MW impact)	41,867	41,266	44,150
EBITDA margin, reported (excluding MW impact)	45.0%	44.2%	45.2%
Adjustments	154	374	274
EBITDA, adjusted (excluding MW impact)	42,022	41,640	44,424
EBITDA margin, adjusted (excluding MW impact)	45.2%	44.6%	45.5%

Source: Management provided information; KPMG analysis

Reconciliation to CIM			
			TTM
\$'000	FY16	FY17	Sep-18
EBITDA, adjusted (excluding MW impact)	42,022	41,640	44,424
Reconciliation items			
Wealth compression	(874)	(1,261)	(1,626)
Pro forma adjustments	n.a	n.a	948
EBITDA, adjusted (Per CIM)	41,148	40,380	43,746

Source: Management provided information; KPMG analysis

Wealth compression reflects the indirect impact of minimum wage increases on the positions already above minimum wage rates. Refer to appendices for further details.

Pro forma adjustments are discussed on the following pages.

Adjustments (continued)

- 1. Minimum Wage impact:** The Alberta government effected a regulatory change in 2015 to increase the minimum wage rate using a phased approach. The wage rates increased annually from October 1, 2015 to 2018 (wherein the minimum wage has stabilized at \$15/hour). The new policy impacted several positions including those above minimum wage rates as the wage gap between the supervisory and junior positions reduced.

As a result of this regulatory change, payroll costs increased every year. To mitigate this increase, Management undertook several initiatives to optimize staffing schedules, reduce headcount and overtime hours. The total impact on each casino is detailed below:

Minimum wage impact			
			TTM
\$'000	FY16	FY17	Sep-18
Calgary	413	831	1,865
Yellowhead	493	724	722
Edmonton	378	685	713
Lethbridge	256	499	701
Total	1,539	2,739	4,001

Source: Management provided information; KPMG analysis

Casino Calgary: The impact in TTM Sep-18 is primarily attributable to: (i) an annual increase in the wage rate of certain supervisory positions (already above the minimum wage rate) pursuant to the Collective Bargaining Agreement ("CBA"); and (ii) the volume impact of additional FTE's hired subsequent to the opening of a new poker room in May 2018.

Casino Yellowhead: The impact is primarily attributable to: (i) wealth compression as Management increased wage rates of certain supervisory positions (already above the minimum wage rate) in FY16; and (ii) the volume impact of the additional FTE's hired subsequent to the opening of the new entertainment room in December 2017.

Casino Edmonton: Impact represents wealth compression as Management increased wage rates of certain supervisory positions (already above the minimum wage rate) in FY16.

Casino Lethbridge: Impact is attributable to an increase in wage rates and FTE's for certain positions (i.e. dealer, server, line cook and hostess).

Refer to the appendices for a detailed breakdown of the adjacent table.

Note: The impact of an increase in the minimum wage rate on October 1st, 2018 is not reflected within this analysis.

Quality of Earnings (7) – Pro forma adjustments

Quality of earnings - Pro forma	
	TTM
\$'000	Sep-18
Net revenue, adjusted	97,719
Pro forma adjustments	
1 Poker room (Calgary)	1,361
2 Entertainment room (Yellowhead)	163
3 Poker rake increase	104
Pro forma adjustments	1,628
Net revenue, pro forma adjusted	99,347
EBITDA, adjusted	40,423
EBITDA margin, adjusted	41.4%
Pro forma adjustments	
1 Poker room (Calgary)	487
2 Slot lease savings	287
3 Poker rake increase	104
4 Entertainment room (Yellowhead)	70
Pro forma adjustments	948
EBITDA, pro forma adjusted	41,371
EBITDA margin, pro forma adjusted	41.6%

Source: Management provided information; KPMG analysis

Pro forma adjustments

The following are run-rate adjustments identified during due diligence:

- Poker room (Calgary):** Effective May 2018, the Company opened a new poker room in Casino Calgary. The proposed adjustment reflects the operating results of the new poker room retrospectively, as if it opened Oct-17 (i.e. full year impact).

1) Poker room (Calgary)														TTM
\$'000	Oct-17	Nov-17	Dec-17	Jan-18	Feb-18	Mar-18	Apr-18	May-18	Jun-18	Jul-18	Aug-18	Sep-18	Sep-18	
Reported														
Revenue	-	-	-	-	-	-	-	176	232	207	203	186	1,004	
Expenses	-	-	-	-	-	-	-	(91)	(112)	(120)	(184)	(117)	(624)	
EBITDA, as reported	-	-	-	-	-	-	-	85	120	87	19	69	380	
Pre-operating estimate														
Revenue (Avg. Aug-18 to Sep-18)	A	194	194	194	194	194	194	194	-	-	-	-	1,361	
Expenses (Avg. May-18 to Sep-18)	B	(125)	(125)	(125)	(125)	(125)	(125)	(125)	-	-	-	-	(874)	
EBITDA adjustment	C = A-B	70	70	70	70	70	70	70	-	-	-	-	487	
Revenue adjustment	D=A	194	194	194	194	194	194	194	-	-	-	-	1,361	

Source: Management provided information; KPMG analysis

- Slot lease savings:** Historically, AGLC charged the Company for lease payments on certain slot machines (in addition to AGLC's 85% share of the slot win). Effective Apr-18, AGLC stopped charging the Company for these lease payments. The proposed adjustment reflects the annualized cost savings from Oct-17 to Mar-18.
- Poker rake increase:** Effective November 1, 2017, the Company increased the poker rake from \$5 to \$7 at Casino Edmonton, Casino Yellowhead and Casino Lethbridge. The adjustment annualizes the impact of the poker rake increase for the TTM period. Note that the rake increase was not implemented at Casino Calgary due to market dynamics. Refer to other considerations for additional details. Refer to the table below for further details.

3) Poker rake increase								
\$'000	Rake				Operator Share			
	Edmonton	Yellowhead	Lethbridge	Total	Edmonton	Yellowhead	Lethbridge	Total
75% Poker pots exceeding the new cap								
Existing Scenario (\$5)								
Average Monthly (000's)	205	231	27	463	154	173	20	347
Actual Annual (000's)	2,460	2,766	326	5,552	1,845	2,075	245	4,164
Proposed Scenario (\$7)								
Average Monthly (000's)	266	300	35	601	200	225	26	451
Actual Annual (000's)	3,197	3,596	424	7,218	2,398	2,697	318	5,413
Incremental impact								
Average Monthly (000's)	61	69	8	139	46	52	6	104
Actual Annual (000's)	738	830	98	1,666	553	622	73	1,249

Source: Management provided information; KPMG analysis

Management utilizes a conservative methodology wherein 75% of total poker pots are expected to include the new poker rake (versus 100%).

Quality of Earnings (8) – Pro forma adjustments

Quality of earnings - Pro forma	
	TTM
\$'000	Sep-18
Net revenue, adjusted	97,719
Pro forma adjustments	
1 Poker room (Calgary)	1,361
2 Entertainment room (Yellowhead)	163
3 Poker rake increase	104
Pro forma adjustments	1,628
Net revenue, pro forma adjusted	99,347
EBITDA, adjusted	40,423
<i>EBITDA margin, adjusted</i>	<i>41.4%</i>
Pro forma adjustments	
1 Poker room (Calgary)	487
2 Slot lease savings	287
3 Poker rake increase	104
4 Entertainment room (Yellowhead)	70
Pro forma adjustments	948
EBITDA, pro forma adjusted	41,371
<i>EBITDA margin, pro forma adjusted</i>	<i>41.6%</i>

Source: Management provided information; KPMG analysis

Pro forma adjustments (continued)

- Entertainment room (Yellowhead):** Effective December 2017, the Company opened a new entertainment room in Casino Yellowhead. The adjustment reflects the operating results of the new entertainment room retrospectively as if it was opened in Oct-17 (i.e. full year impact).

Note that the average of YTD Sep-18 actual results is utilized to estimate revenue and EBITDA for Oct-17 and Nov-17.

Quality of Earnings (9) - Other considerations

Other considerations

The following table includes potential Quality of Earnings considerations identified during due diligence. These items relate to potential business growth opportunities, cost savings and other items that should be considered in the overall evaluation of the business. These items may be subjective in nature and as a result, they have not been included in the Quality of Earnings schedule.

Other considerations	
\$'000	TTM Sep-18
a) Extended casino hours	1,787
b) Master Plan - Edmonton	1,756
c) Poker rake increase - Calgary	930
d) Operational efficiency	778
e) F&B renovation - Calgary	510
f) Winner's edge system	398
g) PURE rewards program	75

Source: Management provided information; KPMG analysis

- a) **Extended casino hours:** Management expects AGLC to revise its policy on daily operating hours from 17 hours to 24 hours. The table below presents the estimated incremental earnings from slot machines should the Company extend the casinos' operating hours:

a) Extended casino hours						
\$'000		Edmonton	Calgary	Yellowhead	Lethbridge	Total
Annualized revenue						
Present scenario (17 hours)	A	12,554	11,661	8,821	5,119	38,155
Proposed scenario (24 hours)	B	13,459	12,596	9,216	5,191	40,463
Incremental net revenue	C = B-A	905	935	395	73	2,308
Wages	D	(139)	(142)	(139)	(61)	(482)
Benefits (8%)	E = D*0.08	(11)	(11)	(11)	(5)	(39)
Wages with benefits	F = D+E	(151)	(153)	(151)	(66)	(520)
Incremental EBITDA	G = C-F	755	781	245	6	1,787

Source: Management provided information; KPMG analysis

Other considerations (continued)

Note: This adjustment does not include potential incremental earnings from other revenue streams (e.g. poker, table games, food & beverage, VLT's and other). In addition, Management utilizes a conservative approach wherein the average monthly net sales per terminal hour are discounted to account for the lower expected coin-in during late hours.

- b) **Master Plan – Edmonton:** Management is currently planning to renovate Casino Edmonton (i.e. new restaurants, incremental slot machines and other). Management indicates that the total budget for the project is \$6.8 million of which \$0.4 million has been invested in the architectural designs and plans. Construction is expected to begin early 2019 and is expected to be completed by early 2020. Refer to the table below for the estimated incremental earnings:

b) Master plan - Edmonton	
\$'000	Full year impact
Net table games	1,293
Net slot	771
Net beverage	453
Net food	302
Ticket sales	240
Revenue	3,058
Compensation	(595)
Other costs	(499)
Food & beverage COGS	(227)
Events cost	(132)
Maintenance R&M foregone	150
Expenses	(1,303)
Net incremental EBITDA	1,756

Source: Management provided information

Note: The above table represents the first year of incremental earnings.

Quality of Earnings (10) – Other considerations

Other considerations (continued)

- c) **Poker rake increase – Calgary:** Given a change in the competitive landscape in Calgary, Management believes that the poker rake may be increased in the near future. The table below presents the expected incremental earnings should the Company increase the poker rake to \$7 (i.e. consistent with the Company's other casinos).

c) Poker rake increase - Calgary		
\$'000		Full year impact
New poker rake (Actual)		7
Current poker rake (Actual)		5
% Increase in rate	A	40.0%
Poker revenue (FY19B)	B	3,100
Annual incremental revenue (40%)	C= B*A	1,240
Poker revenue post rake change	D= B+C	4,340
Operator share (75%)	E= C*0.75	930

Source: Management provided information; KPMG analysis

- d) **Operational efficiency:** Management expects the AGLC to allow for increased flexibility with respect to supervisors' staffing requirements. As a result, the Company may be able to optimize their current scheduling and reduce headcount. Refer to the table below for the expected annualized savings:

d) Operational efficiency					
\$'000	Edmonton	Calgary	Yellowhead	Lethbridge	Total
Pit managers	216	70	105	n.a	391
Supervisors	162	149	53	22	386
Annual cost savings	378	219	158	22	778

Source: Management provided information; KPMG analysis

The detailed methodology and calculations of the cost savings are presented in the appendices.

- e) **F&B renovation – Calgary:** Management indicates that there would be an introduction of a new dining facility with a seating capacity of approximately 170 customers. The total project cost is expected to be approximately \$2 million. The table below represents the expected incremental earnings from this project:

e) F&B renovation - Calgary	
\$'000	Full year impact
Slots	337
Entertainment	227
Beverage	202
Table games	142
Food	76
Revenue	983
Ticket events / marketing expense	(216)
Payroll	(124)
COGS	(83)
Other operational expenses	(50)
Expenses	(473)
Net incremental EBITDA	510

Source: Management provided information

- f) **Winner's edge system:** AGLC is in advanced stages to launch a player engagement program (i.e. Winner's Edge) in July 2019. The new program will introduce database tracking technology designed to: (i) expand player base; (ii) increase loyalty amongst the existing customer base and (iii) increase visitation.

Post implementation, Management has budgeted a total increase of approximately 4% to 5% in slot cash played at three casinos – Edmonton, Calgary and Yellowhead over the next four years. Refer to the table on the next page for the expected incremental earnings:

Quality of Earnings (11) – Other considerations

Other considerations (continued)

f) Winner's edge system				
\$'000	FY19	FY20	FY21	FY22
Management projection	398	795	1,193	1,591

Source: Management provided information; KPMG analysis

Note: The fiscal years noted above have a March 31st year-end.

Note: The above table represents the estimate of the incremental slot cash played post implementation of the new player reward system. Management followed a conservative approach wherein incremental slot cash played is discounted to 72% of the AGLC's annual estimate.

- g) **PURE rewards program:** Currently, AGLC is implementing a new player engagement program (Winner's Edge) which is expected to be completed by July 2019. Management is considering to reduce spending with respect to the current PURE rewards program (i.e. the Company's current player reward / loyalty program) in Casino Calgary, Casino Edmonton and Casino Yellowhead post implementation. It is our understanding that the Company is contemplating annual cost savings of approximately \$75,000 at Casino Lethbridge in 2019. Note: The total expense related to the current PURE rewards program (across the four properties) for the TTM Sep-18 period is \$0.6 million.



Supporting analysis to key findings

Net working capital

Supporting analysis

Net working capital (1) - Overview

Average TTM Sep-18 reported net working capital is -\$2.1 million.

Subsequent to adjustments identified, average net working capital decreases to -\$3.8 million.

Refer to the following pages for further details on adjustments.

Net working capital						
\$'000	As at			Average		
	31-Dec-16	31-Dec-17	30-Sep-18	FY16	FY17	TTM Sep-18
Current assets						
Restricted cash	1,184	1,485	1,624	1,235	1,548	1,482
Accounts receivable	4,944	7,452	6,935	4,400	4,103	4,444
Inventory	518	521	414	449	480	465
Prepaid expenses and other	938	1,062	1,023	1,074	964	1,153
Total current assets	7,584	10,520	9,996	7,157	7,095	7,544
Current liabilities						
Accounts payable and accrued liabilities	(10,537)	(15,432)	(8,624)	(9,626)	(9,012)	(9,652)
Total current liabilities	(10,537)	(15,432)	(8,624)	(9,626)	(9,012)	(9,652)
Net working capital, reported	(2,953)	(4,912)	1,372	(2,469)	(1,916)	(2,108)
as % of net revenue	(3.2%)	(5.3%)	1.4%	(2.7%)	(2.1%)	(2.2%)
Adjustments	(694)	91	(5,806)	(1,032)	(1,683)	(1,654)
Net working capital, adjusted	(3,647)	(4,821)	(4,434)	(3,501)	(3,599)	(3,762)
As % of TTM adjusted net revenue	(3.9%)	(5.2%)	(4.5%)	(3.8%)	(3.9%)	(3.8%)

Source: Management provided information; KPMG analysis

Basis of preparation

The net working capital normalization schedule summarizes adjustments to be considered which were identified for the fiscal years ended December 31, 2016 and 2017 and the trailing twelve month period ended September 30, 2018.

The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

■ The components to net working capital as at September 30, 2018 are detailed below:

- **Restricted cash:** Represents funds held in trust. AGLC requires the Company to maintain a restricted cash balance for the associated current liability accounts related to G3 trust liability (\$1.0 million), bad beat trust (\$0.4 million) and poker vault (\$0.2 million).
- **Accounts receivable:** Primarily includes ATM receivable (\$4.5 million), cash in transit (\$1.3 million), operating debit / credit card receivable (\$0.7 million) and other (\$0.5 million).
- **Inventory:** Comprises of food & beverage, alcohol and gaming supplies for daily operations.
- **Prepaid expenses and other:** Primarily includes pre-payments related to banker's acceptance (\$0.6 million), valuation services (\$67,000), property taxes (\$60,000) and other (\$0.3 million).
- **Accounts payable and accrued liabilities:** Primarily includes payroll liabilities (-\$3.5 million), trust liabilities (-\$1.6 million), trade payables (-\$0.9 million), loyalty and gift card liabilities (-\$0.6 million) and other miscellaneous accrued liabilities (-\$2.0 million).

Net working capital (2) - Potential adjustments

Net working capital						
\$'000	As at			Average		
	31-Dec-16	31-Dec-17	30-Sep-18	FY16	FY17	TTM Sep-18
Current assets						
Restricted cash	1,184	1,485	1,624	1,235	1,548	1,482
Accounts receivable	4,944	7,452	6,935	4,400	4,103	4,444
Inventory	518	521	414	449	480	465
Prepaid expenses and other	938	1,062	1,023	1,074	964	1,153
Total current assets	7,584	10,520	9,996	7,157	7,095	7,544
Current liabilities						
Accounts payable and accrued liabilities	(10,537)	(15,432)	(8,624)	(9,626)	(9,012)	(9,652)
Total current liabilities	(10,537)	(15,432)	(8,624)	(9,626)	(9,012)	(9,652)
Net working capital, reported	(2,953)	(4,912)	1,372	(2,469)	(1,916)	(2,108)
as % of net revenue	(3.2%)	(5.3%)	1.4%	(2.7%)	(2.1%)	(2.2%)
Adjustments						
1 ATM receivable	(3,321)	(3,776)	(4,460)	(2,299)	(2,184)	(2,456)
2 Due to AGLC	3,445	5,192	401	2,596	1,518	1,654
3 Accounts Receivable - cash in transit	(483)	(2,085)	(1,255)	(904)	(787)	(683)
4 Banker's acceptance	(435)	(673)	(594)	(457)	(437)	(587)
5 Prior period withholding taxes	-	1,352	-	-	113	338
6 BNS Standby Fees & Interest	95	51	120	56	43	53
7 NWC impact of QofE adjustments	-	31	(17)	4	(6)	16
8 Management fee	5	-	-	46	51	13
9 Interest payment on revolver	-	-	-	-	6	-
10 Insurance claim	-	-	-	(68)	-	-
11 Interest on Management loan	-	-	-	(6)	-	-
Adjustments	(694)	91	(5,806)	(1,032)	(1,683)	(1,654)
Net working capital, adjusted	(3,647)	(4,821)	(4,434)	(3,501)	(3,599)	(3,762)
As % of TTM adjusted net revenue	(3.9%)	(5.2%)	(4.5%)	(3.8%)	(3.9%)	(3.8%)

Source: Management provided information; KPMG analysis

Potential adjustments

The following are potential adjustments identified during due diligence:

- ATM receivable:** Represents cash to be received from the ATM provider (Frisco Bay) to refund the Company's ATM float investment (i.e. timing of cash). The adjustment removes the balance from net working capital as it is considered to be float related in nature.
- Due to AGLC:** Represents the AGLC's share of revenue related to table games, slots and VLT's. This adjustment excludes such balances from net working capital as they are considered to be debt-like in nature.
- Accounts receivable – cash in transit:** Primarily represents cash in transit from the respective casinos to the Company's primary bank account and therefore, adjusted from net working capital.
- Banker's acceptance:** Represents balances related to banker's acceptance recorded within the Company's prepaid expenses. This adjustment excludes such balances from net working capital as they are considered to be debt-like in nature.
- Prior period withholding taxes:** Represents accruals related to the prior period withholding taxes for interest payments on the equity sponsor's loan. This adjustment excludes such balances from net working capital as they are considered to be debt-like in nature.
- BNS standby fees & interest:** Represents the accruals related to the BNS standby fees and interest expenses recorded within the Company's accrued liabilities. This adjustment excludes such balances from net working capital as they are considered to be debt-like in nature.
- NWC impact of QofE adjustments:** This adjustment removes the indicative impact of the QofE adjustments on net working capital. Refer to the appendices section for further details.

Net working capital (3) - Potential adjustments

Net working capital						
	As at			Average		
	31-Dec-16	31-Dec-17	30-Sep-18	FY16	FY17	TTM Sep-18
\$'000						
Current assets						
Restricted cash	1,184	1,485	1,624	1,235	1,548	1,482
Accounts receivable	4,944	7,452	6,935	4,400	4,103	4,444
Inventory	518	521	414	449	480	465
Prepaid expenses and other	938	1,062	1,023	1,074	964	1,153
Total current assets	7,584	10,520	9,996	7,157	7,095	7,544
Current liabilities						
Accounts payable and accrued liabilities	(10,537)	(15,432)	(8,624)	(9,626)	(9,012)	(9,652)
Total current liabilities	(10,537)	(15,432)	(8,624)	(9,626)	(9,012)	(9,652)
Net working capital, reported	(2,953)	(4,912)	1,372	(2,469)	(1,916)	(2,108)
as % of net revenue	(3.2%)	(5.3%)	1.4%	(2.7%)	(2.1%)	(2.2%)
Adjustments						
1 ATM receivable	(3,321)	(3,776)	(4,460)	(2,299)	(2,184)	(2,456)
2 Due to AGLC	3,445	5,192	401	2,596	1,518	1,654
3 Accounts Receivable - cash in transit	(483)	(2,085)	(1,255)	(904)	(787)	(683)
4 Banker's acceptance	(435)	(673)	(594)	(457)	(437)	(587)
5 Prior period withholding taxes	-	1,352	-	-	113	338
6 BNS Standby Fees & Interest	95	51	120	56	43	53
7 NWC impact of QoE adjustments	-	31	(17)	4	(6)	16
8 Management fee	5	-	-	46	51	13
9 Interest payment on revolver	-	-	-	-	6	-
10 Insurance claim	-	-	-	(68)	-	-
11 Interest on Management loan	-	-	-	(6)	-	-
Adjustments	(694)	91	(5,806)	(1,032)	(1,683)	(1,654)
Net working capital, adjusted	(3,647)	(4,821)	(4,434)	(3,501)	(3,599)	(3,762)
As % of TTM adjusted net revenue	(3.9%)	(5.2%)	(4.5%)	(3.8%)	(3.9%)	(3.8%)

Source: Management provided information; KPMG analysis

Potential adjustments (continued)

- Management fee:** This adjustment excludes the accruals related to the management fee paid to the Company's private equity sponsor as they are considered to be non-operating in nature.
- Interest payment on revolver:** Represents the accruals related to the interest payments on revolver loan recorded within the Company's accrued liabilities. This adjustment excludes such balances from net working capital as they are considered to be debt-like in nature.
- Insurance claim:** In May 2016, the Company received an insurance payment related to a claim filed in August 2015 for receipt of a fraudulent cheque. This adjustment excludes the accounts receivable balance in lieu of insurance proceeds from the period Jan-16 to Apr-16 as it is considered to be non-operating in nature.
- Interest on Management loan:** Represents accruals related to the interest on the Management loan. This adjustment excludes such balances from net working capital as they are considered to be debt-like in nature.



Appendices

1. Reconciliation to audited financials
2. Consolidating income statement
3. One-time expenses
4. Minimum wage impact
5. Operational efficiency
6. NWC impact of QofE adjustments
7. Capital expenditures
8. Payroll analysis
9. Operating metrics by property

Reconciliation to audited financials – Income statement

Income statement - Reconciliation						
\$'000	Internals		Variance		Audited	
	FY16	FY17	FY16	FY17	FY16	FY17
Gaming & other	79,029	79,499	0	(0)	79,029	79,499
Food & beverage, net	13,996	13,944	0	0	13,996	13,944
Net revenue	93,026	93,443	1	(0)	93,025	93,443
Cost of goods sold	(5,761)	(5,808)	(1)	1	(5,760)	(5,809)
Gross margin	87,265	87,635	(0)	1	87,265	87,634
Operating expenses						
Compensation	(33,154)	(34,533)	(574)	(444)	(33,728)	(34,977)
Marketing	(4,026)	(4,130)	1	(0)	(4,027)	(4,130)
Other expenses	(9,756)	(10,443)	(554)	(977)	(10,310)	(11,420)
Operating expenses	(46,936)	(49,107)	1,129	1,420	(48,065)	(50,527)
EBITDA, reported	40,328	38,528	1,128	1,421	39,200	37,107
Other items	(1,051)	(1,346)	(1,127)	(1,420)	76	74
Depreciation & amortization	(4,565)	(4,665)	(1)	0	(4,564)	(4,665)
Amortization of deferred financing fees	(260)	(639)	(0)	(0)	(260)	(639)
EBIT	34,453	31,877	1	0	34,452	31,877
Interest	(33,483)	(35,013)	0	(0)	(33,483)	(35,013)
Provision for income taxes	(310)	721	(1)	0	(309)	721
Net income	660	(2,414)	0	1	660	(2,415)

Source: Management provided information; KPMG analysis

The highlighted reconciliation variances are due to the reclassification of "one-time expenses" and "Management & board costs".

Reconciliation to audited financials – Balance sheet

Balance Sheet - Reconciliation						
	Internals		Variance		Audited	
\$'000	31-Dec-16	31-Dec-17	31-Dec-16	31-Dec-17	31-Dec-16	31-Dec-17
Assets						
Cash and cash equivalents	8,182	8,492	(0)	(0)	8,182	8,492
Accounts receivable	4,944	7,452	0	(0)	4,944	7,452
Income taxes recoverable	2,765	600	(0)	(0)	2,765	600
Inventory	518	521	0	0	518	521
Prepaid expenses and deposits	938	1,062	(0)	0	938	1,062
Restricted cash	1,184	1,485	(0)	(0)	1,184	1,485
Current assets	18,531	19,612	(0)	(0)	18,531	19,612
Property and equipment	94,261	93,330	(0)	(0)	94,261	93,330
Intangible assets	184,005	184,149	(0)	0	184,005	184,149
Goodwill	51,858	51,858	(0)	(0)	51,858	51,858
Total assets	348,654	348,948	(1)	(1)	348,655	348,949
Liabilities and equity						
Liabilities						
Accounts payable & accrued liabilities	(10,537)	(15,432)	0	(1)	(10,537)	(15,431)
Current portion of long-term debt	-	-	(12,000)	(6,500)	(12,000)	(6,500)
Current liabilities	(10,537)	(15,432)	12,000	6,499	(22,537)	(21,931)
Long-term debt	(302,935)	(301,406)	(12,000)	(6,500)	(290,935)	(294,906)
Deferred income tax liabilities	(36,667)	(35,964)	0	1	(36,667)	(35,965)
Liabilities	(350,139)	(352,802)	0	0	(350,139)	(352,802)
Equity						
Share capital	(234)	(234)	0	0	(234)	(234)
Share-based compensation reserve	(192)	(237)	0	1	(192)	(238)
Retained deficit	1,910	4,324	0	(1)	1,910	4,325
Equity	1,484	3,853	0	0	1,484	3,853
Total liabilities and equity	(348,654)	(348,948)	1	1	(348,655)	(348,949)

Source: Management provided information; KPMG analysis

The highlighted reconciliation variance is due to the reclassification of current and long-term debt

Appendix 2

Income statement – Consolidating FY17

Consolidating income statement - FY17						
\$'000	Calgary	Edmonton	Yellowhead	Lethbridge	Head office	Consolidated
Gross revenue	29,344	31,045	22,681	12,432	0	95,502
Complimentary food expenses	(528)	(642)	(639)	(250)	-	(2,059)
Net revenue	28,816	30,403	22,042	12,182	0	93,443
Cost of goods sold	(1,197)	(1,846)	(1,478)	(1,287)	(1)	(5,808)
Gross margin	27,619	28,557	20,564	10,895	(1)	87,635
Operating expenses						
Compensation	(9,274)	(9,657)	(8,943)	(4,047)	(2,613)	(34,533)
Marketing	(1,212)	(1,178)	(1,362)	(349)	(29)	(4,130)
Other expenses	(2,470)	(2,529)	(2,428)	(1,501)	(1,515)	(10,443)
Operating expenses	(12,956)	(13,364)	(12,733)	(5,897)	(4,156)	(49,107)
EBITDA	14,663	15,193	7,831	4,997	(4,157)	38,528
Other items	(172)	(198)	(149)	(75)	(752)	(1,346)
Depreciation & amortization	(1,039)	(1,290)	(1,511)	(740)	(84)	(4,665)
Amortization of deferred financing fees	-	-	-	-	(639)	(639)
EBIT	13,452	13,705	6,170	4,183	(5,632)	31,877
Interest on long term debt	-	-	-	-	(35,013)	(35,013)
Provision for income taxes	-	-	-	-	721	721
Net income	13,452	13,705	6,170	4,183	(39,924)	(2,414)
As a % of net revenue						
Gross margin	95.8%	93.9%	93.3%	89.4%	n.a	93.8%
EBITDA	50.9%	50.0%	35.5%	41.0%	n.a	41.2%
EBIT	46.7%	45.1%	28.0%	34.3%	n.a	34.1%
Net margin	46.7%	45.1%	28.0%	34.3%	n.a	(2.6%)

Source: Management provided information; KPMG analysis

Appendix 2

Income statement – Consolidating TTM Sep-18

Consolidating income statement - TTM Sep-18						
\$'000	Calgary	Edmonton	Yellowhead	Lethbridge	Head office	Consolidated
Gross revenue	31,535	30,760	24,689	12,871	0	99,855
Complimentary food expenses	(680)	(648)	(585)	(232)	-	(2,145)
Net revenue	30,855	30,112	24,104	12,639	0	97,710
Cost of goods sold	(1,330)	(1,884)	(1,576)	(1,350)	-	(6,140)
Gross margin	29,525	28,228	22,528	11,289	0	91,569
Operating expenses						
Compensation	(10,571)	(9,667)	(9,085)	(4,291)	(2,709)	(36,323)
Marketing	(1,279)	(1,188)	(1,523)	(329)	(15)	(4,334)
Other expenses	(2,645)	(2,584)	(2,498)	(1,470)	(1,566)	(10,763)
Operating expenses	(14,495)	(13,439)	(13,106)	(6,090)	(4,291)	(51,420)
EBITDA	15,030	14,789	9,422	5,199	(4,291)	40,149
Other items	(202)	(199)	(151)	(81)	(721)	(1,354)
Depreciation & amortization	(1,080)	(1,283)	(1,602)	(766)	(111)	(4,842)
Amortization of deferred financing fees	-	-	-	-	(621)	(621)
EBIT	13,748	13,307	7,669	4,352	(5,745)	33,332
Interest on long term debt	-	-	-	-	(33,570)	(33,570)
Provision for income taxes	-	-	-	-	(434)	(434)
Net income	13,748	13,307	7,669	4,352	(39,749)	(673)
As a % of net revenue						
Gross margin	95.7%	93.7%	93.5%	89.3%	n.a	93.7%
EBITDA	48.7%	49.1%	39.1%	41.1%	n.a	41.1%
EBIT	44.6%	44.2%	31.8%	34.4%	n.a	34.1%
Net margin	44.6%	44.2%	31.8%	34.4%	n.a	(0.7%)

Source: Management provided information; KPMG analysis

Appendix 3

One-time expenses

One-time expenses			
	TTM		
\$'000	FY16	FY17	Sep-18
A Penalties on withholding taxes	5	281	283
B ADP implementation (Phase I & II)	-	68	125
C New poker room opening costs - Calgary	-	-	23
D New menu implementation costs	111	127	19
E Executive training	-	-	10
F Immigration invoices	7	11	3
G Centralized surveillance costs	-	65	1
H PURE rewards relaunch	-	60	-
I Marketing analysis cost	-	55	-
J Recruitment costs for board member	-	36	-
K Relocation costs for executive team	74	26	-
L Air travel expenses	-	20	-
M Tax related PWC costs for members of executive team	-	9	-
N New restaurant (Retro)	124	-	-
O OT per labour standards audit	51	-	-
P Insurance	46	-	-
Q IT labour	24	-	-
Total	442	758	464

Source: Management provided information; KPMG analysis

One-time expenses

One-time expenses primarily represent non-recurring and non-operating expenses identified by Management which are not expected to be incurred in the future. The respective items are detailed below:

- A. Penalties on withholding taxes:** Represents a non-recurring payment of \$0.3 million made to the Canada Revenue Agency ("CRA") in March 2018. Specifically, this represents penalties paid on withholding taxes related to the equity sponsor loan.
- B. ADP implementation (Phase I & II):** Represents compensation expense of an individual hired specifically for the ADP implementation (new IT system). These costs are considered to be non-recurring in nature, hence added back.
- C. New poker room opening costs – Calgary:** This adjustment eliminates the costs related to opening of the new poker room in Casino Calgary. These costs primarily include expenses related to radio advertisement, marketing events and complementary food & beverage.
- D. New menu implementation costs:** The Company redesigned the food and beverage menu for Casino Calgary and Casino Edmonton and subsequently implemented new menus for other locations. Professional chefs (Rob Ryan and Sammy DeMarco) were specifically hired on a contract basis to implement and support the initiative. This adjustment adds-back related non-recurring expenses. See Quality of Earnings adjustment #3 for further details. Refer to the table below for further details:

New menu implementation costs			
	TTM		
\$'000	FY16	FY17	Sep-18
Consulting contract (Chef)	103	88	9
Travel	6	31	10
Menu redesign	-	8	-
Other	3	-	-
New menu implementation costs	111	127	19

Source: Management provided information; KPMG analysis

- E. Executive training:** In June 2018, two professional trainers from the US were hired to provide training to the executive team members. This adjustment adds-back the training related expenses as these are considered to be non-recurring in nature.

Appendix 3

One-time expenses

One-time expenses			
	TTM		
\$'000	FY16	FY17	Sep-18
A Penalties on withholding taxes	5	281	283
B ADP implementation (Phase I & II)	-	68	125
C New poker room opening costs - Calgary	-	-	23
D New menu implementation costs	111	127	19
E Executive training	-	-	10
F Immigration invoices	7	11	3
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J Recruitment costs for board member	-	36	-
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L Air travel expenses	-	20	-
M Tax related PWC costs for members of executive team	-	9	-
N New restaurant (Retro)	124	-	-
O OT per labour standards audit	51	-	-
P Insurance	46	-	-
Q IT labour	24	-	-
Total	442	758	464

Source: Management provided information; KPMG analysis

One-time expenses (continued)

- F. Immigration invoices:** Represents the expenses related to the Canadian Permanent Residency applications for George Goldhoff (CEO) and Greg Van Stone (General Manager). These expenses are considered to be non-operating in nature and hence, added back.
- G. Centralized surveillance costs:** In July 2017, the Company undertook an initiative to centralize the surveillance for all four casinos. A dedicated consultant was specifically hired for the technical implementation over a period of approximately three months (July, August and September). This adjustment adds-back all the costs related to this project including consultant's fee, travel expenses and other. These expenses are considered to be non-recurring in nature and are not expected to continue going forward.
- H. PURE rewards relaunch:** This adjustment adds-back the costs of the PURE customer loyalty program relaunch in August 2017. The costs primarily include expenses related to employee training specifically undertaken for this program.
- I. Marketing analysis cost:** The Company hired a marketing analyst (Jay Sarno) to determine the potential impact on the business due to changes in the market (i.e. closure of Casino Northlands Park and opening of Casino Century Mile). The analyst primarily focused on analyzing the market data, economic trends and competitor developments post changes in the market. This adjustment adds-back the costs related to the analyst as it is considered to be non-recurring in nature.
- J. Recruitment costs for board member:** Represents non-recurring third party fees incurred to recruit a board advisor.
- K. Relocation costs for executive team:** Represents the relocation costs for key executive team members: (i) Anna Borissova (CFO) and (ii) Jeff Craig (VP Operations). This amount is non-operating in nature and therefore eliminated from normalized earnings.
- L. Air travel expenses:** This adjustment eliminates travel expenses for the executive team members in relation to a business trip.

Appendix 3

One-time expenses

One-time expenses			
	TTM		
\$'000	FY16	FY17	Sep-18
A Penalties on withholding taxes	5	281	283
B ADP implementation (Phase I & II)	-	68	125
C New poker room opening costs - Calgary	-	-	23
D New menu implementation costs	111	127	19
E Executive training	-	-	10
F Immigration invoices	7	11	3
G Centralized surveillance costs	-	65	1
H PURE rewards relaunch	-	60	-
I Marketing analysis cost	-	55	-
J Recruitment costs for board member	-	36	-
K Relocation costs for executive team	74	26	-
L Air travel expenses	-	20	-
M Tax related PWC costs for members of executive team	-	9	-
N New restaurant (Retro)	124	-	-
O OT per labour standards audit	51	-	-
P Insurance	46	-	-
Q IT labour	24	-	-
Total	442	758	464

Source: Management provided information; KPMG analysis

One-time expenses (continued)

M. Tax related PWC costs for members of executive team: Represents payments made to PwC for the completion of the annual US tax returns for executive team members (George Goldhoff and Greg Van Stone).

N. New restaurant (Retro): Represents the non-capitalized portion of costs related to the opening of a new restaurant in Casino Yellowhead. These costs are considered to be non-recurring in nature and eliminated from EBITDA. Please refer to the table below for further details.

New restaurant (Retro)	
\$'000	FY16
Consulting contract (Chef)	75
Food expenses for training in-house chefs	24
Other (Food tasting, uniforms, etc.)	25
New restaurant (Retro)	124

Source: Management provided information; KPMG analysis

O. OT per labour standards audit: Management noted an underpayment of overtime hours incurred during the historical period. This cumulative balance was paid in FY16. As a result, the adjustment allocates the expense to the appropriate period. Note: The new policy was implemented in all casinos going forward.

P. Insurance: Represents expenses primarily related to valuation services performed by Marsh. Such expenses are added back as they are considered to be non-recurring in nature.

Q. IT labour: The Company hired an IT consultant on a temporary basis. See Quality of Earnings adjustment #13 for further details.

Appendix 4

Minimum wage impact

The tables below detail the total minimum wage impact by hourly rate and volume by casino.

Minimum wage impact (hourly rate and volume)			
	Total impact		
			TTM
\$'000	FY16	FY17	Sep-18
Hourly rate	193	489	763
Volume (hours)	(4)	6	(240)
Edmonton	189	495	523
Hourly rate	159	411	653
Volume (hours)	53	32	(211)
Yellowhead	212	443	442
Hourly rate	124	234	341
Volume (hours)	131	265	360
Lethbridge	256	499	701
Hourly rate	21	47	74
Volume (hours)	(12)	(7)	116
Calgary (excl. new poker room)	9	41	190
Hourly rate	-	-	-
Volume (hours)	-	-	519
Poker room (Calgary)	-	-	519
Hourly rate	497	1,182	1,831
Volume (hours)	168	296	544
Total	665	1,478	2,375

Source: Management provided information; KPMG analysis

In the adjacent table, the hourly rate and volume impact by casino is calculated by comparing the monthly (i.e. Jan-16 to Sep-18) actual hourly rates and FTE's for each individual position to the effective hourly rate and FTE as at September 2015 (pre-implementation of first hourly rate increase and any optimization initiative undertaken by Management).

Note: The analysis excludes the hourly rate impact of all individuals already above the minimum wage rate. However, includes volume impact of all the positions to reflect the effect of optimization initiatives undertaken by Management.

MW impact (including CBA / wealth compression)			
	Total impact		
			TTM
\$'000	FY16	FY17	Sep-18
Minimum wage impact	665	1,478	2,375
Edmonton	189	189	189
Yellowhead	281	281	281
Calgary	404	791	1,156
Compression (cumulative)	874	1,261	1,626
Total impact	1,539	2,739	4,001

Source: Management provided information; KPMG analysis

The adjacent table presents the impact of wealth compression by each casino using the same methodology as above (i.e. comparing the monthly actual hourly rates for each position to the effective hourly rate as at September 2015).

Note: The analysis only includes the hourly rate impact of all individuals above minimum wage rate and excludes the volume / hours impact (i.e. captured in the above analysis).

Appendix 5

Operational efficiency

The tables below represent the methodology to calculate operational cost savings from reduction in FTE's for pit manager and supervisory positions.

Pit managers						
\$'000		Edmonton	Calgary	Yellowhead	Lethbridge	Total
Present scenario						
Current average FTE's		6.5	4.2	4.7	n.a	15.4
Annual salaries (000's)		370	226	271	n.a	867
Benefits		30	18	22	n.a	69
Annual salaries with benefits	A	400	244	292	n.a	936
Proposed change						
Revised FTEs		3.0	3.0	3.0	n.a	9.0
Annual salaries (000's)		170	161	174	n.a	505
Benefits		14	13	14	n.a	40
Revised annual salaries with benefits	B	184	174	187	n.a	545
Annual cost savings	C= A-B	216	70	105	n.a	391

Source: Management provided information; KPMG analysis

Supervisors						
\$'000		Edmonton	Calgary	Yellowhead	Lethbridge	Total
Present scenario						
Current average FTE's		14.5	18.9	11.3	5.2	49.9
Annual salaries (000's)		727	870	552	212	2,360
Benefits (8%)		58	70	44	17	189
Annual salaries with benefits	A	785	940	596	229	2,549
Proposed change						
Revised FTEs		11.5	15.9	10.3	4.7	42.4
Annual salaries (000's)		577	732	503	192	2,003
Benefits		46	59	40	15	160
Revised annual salaries with benefits	B	623	790	543	207	2,163
Annual cost savings	C= A-B	162	149	53	22	386

Source: Management provided information; KPMG analysis

Appendix 6

NWC impact of QofE adjustments

The table below represents the net working capital impact of the QofE adjustments and one-time expenses.

NWC impact of the QofE adjustments					
	As at		Average		
	31-Dec-17	30-Sep-18	FY16	FY17	TTM Sep-18
\$'000					
EBITDA adjustments					
2 Marketing expense - Masterminds	-	(17)	-	-	(5)
2 Marketing expense - Inspiration Group	17	-	-	4	8
4 Refinancing legal fees	-	-	-	-	5
6 Executive meeting	-	-	-	-	4
8 Credit card fraud	14	-	-	1	1
10 Alberta Charitable Casino Operator's funding	-	-	11	(11)	-
Adjustments	31	(17)	11	(6)	14
One time expenses					
C New poker room opening costs - Calgary	-	-	-	-	2
N New restaurant (Retro)	-	-	2	-	-
O OT per labour standards audit	-	-	(9)	-	-
Total	31	(17)	4	(6)	16

Source: Management provided information; KPMG analysis

Appendix 7

Capex Schedule

Summary of capital expenditures						
\$'000	Actual			As a % of Net revenue		
	FY16	FY17	YTD Sep-18	FY16	FY17	YTD Sep-18
Maintenance	160	236	57	0.6%	0.8%	0.2%
Growth	18	48	1,054	0.1%	0.2%	3.4%
Calgary	179	283	1,110	0.6%	1.0%	3.6%
Maintenance	360	187	110	1.2%	0.6%	0.4%
Growth	38	60	22	0.1%	0.2%	0.1%
Edmonton	398	247	131	1.3%	0.8%	0.4%
Maintenance	235	161	79	1.1%	0.7%	0.3%
Growth	945	2,338	52	4.2%	10.6%	0.2%
Yellowhead	1,179	2,499	131	5.3%	11.3%	0.5%
Maintenance	135	153	179	1.1%	1.3%	1.4%
Growth	85	1	-	0.7%	0.0%	-
Lethbridge	220	155	179	1.8%	1.3%	1.4%
Maintenance	68	284	78	n.a	n.a	n.a
Growth	4	410	22	n.a	n.a	n.a
Corporate Office	72	694	99	n.a	n.a	n.a
Total	2,049	3,878	1,650	2.2%	4.1%	1.7%
Total maintenance	958	1,021	501			
Total growth	1,090	2,856	1,149			

Source: Management provided information; KPMG analysis

1

YTD Sep-18 increase is primarily attributable to the opening of new poker room in May 2018.

2

FY17 increase is primarily attributable to the opening of new entertainment room in December 2017.

Appendix 8

Payroll Analysis

Payroll analysis			
			TTM
\$'000	FY16	FY17	Sep-18
Edmonton	9,255	9,657	9,667
Calgary	8,888	9,274	10,571
Yellowhead	8,737	8,943	9,085
Lethbridge	3,796	4,047	4,291
Head office	2,479	2,613	2,709
Employee expenses	33,154	34,533	36,323
KPI's			
Salaries & wages	27,512	28,620	29,886
Overtime	806	711	606
Statutory holiday pay	1,292	1,305	1,629
Contract labour	101	37	70
Bonus	324	742	1,028
Taxes & wcb	2,162	2,188	2,172
Benefits	957	931	933
Total	33,154	34,533	36,323
KPI's - As % of salaries			
Overtime as % of salaries	2.9%	2.5%	2.0%
Bonus as % of salaries	1.2%	2.6%	3.4%
Taxes & WCB as % of salaries	7.9%	7.6%	7.3%
Benefits as % of salaries	3.5%	3.3%	3.1%
Headcount details, by property			
Edmonton	293	295	280
Calgary	250	245	278
Yellowhead	265	254	255
Lethbridge	148	146	153
Head office	25	31	42
Total	982	971	1,007
Average salary per employee			
Edmonton	29	30	32
Calgary	33	35	35
Yellowhead	30	32	32
Lethbridge	24	26	26
Head office	90	71	53

Source: Management provided information; KPMG analysis

1

The average salary per employee at head office decreases Y-o-Y as the Company allocates the centralized surveillance payroll costs to each casino. However, the related headcount is included within head office (effective September 2017).

Appendix 9

Operating metrics by property

Reported metrics (Sep-18)	Calgary	Edmonton	Yellowhead	Lethbridge
Location	Calgary	Edmonton	Edmonton	Lethbridge
Year opened	1997	1987	2000	2004
Size (sqft)	57,000	72,000	75,000	44,000
Number of slots	842	861	745	427
Number of VLTs	28	27	24	28
Number of tables	30	25	26	11
Number of poker tables	10	12	12	5
Number of staff	278	280	255	153
Poker rake (\$)	5	7	7	7
Hold %	7.5%	7.6%	7.8%	7.7%
Annual coin-in (\$ m)	1,036	1,110	747	447
Total Capex investment since 2011 (\$ m)	4.9	5.3	6.9	1.4

Source: Management provided information; KPMG analysis



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